

Quantitative Equity Market Analysis Thesis

This analysis covers the Indian equity market from April 2016 to March 2026 using the Nifty50 as macro benchmark. The index delivered a Sharpe of 0.38 and a maximum drawdown of 38% concentrated in the Covid crash of March 2020. And the second maximum drawdown was approximately 18% happened in mid-2022.

Sector rotation analysis showed the Nifty IT index as the strongest outperformer on a normalized cumulative return basis over the full period, surpassing Banking and FMCG despite trailing them in absolute price levels for most of the decade.

Among eight eligible Nifty IT constituents with full data coverage from 2016, normalized cumulative return analysis identified **Coforge** and **Persistent Systems** as the two standout compounders, significantly outpacing TCS, Infosys, and Wipro, the big players in this sector.

Persistent delivered a 10-year CAGR of 30.8% vs Coforge's 29.19%, with a Sharpe of 0.82 vs 0.75. Persistent's beta of 0.69 confirms below-market sensitivity, while Coforge's beta of 1.06 indicates it amplifies market moves, making it more vulnerable during downturns.. Maximum drawdown was (56.76%) vs (45.70%) during covid. And the second maximum drawdown was less than 50% vs less than 40%.

Persistent Systems is the preferred pick, its combination of the highest Sharpe ratio and a 30.8% CAGR represents superior risk-adjusted compounding. However, the 31.9% annualized volatility and -46% historical drawdown require a long investment horizon and strong conviction.